PRIORITY 24 OF 33 · SCORE 2.5

Pension Benefit Guaranty Corporation

PBGC pays pensions for failed plans and, since 2021, has paid Special Financial Assistance (SFA) grants to rescue multiemployer plans. The SFA program showed a concrete, public failure: Central States got about $127M too much because 3,479 dead participants were counted as alive, since PBGC was not checking SSA's death file until November 2023. Other SFA plans may carry the same error.

INVESTIGATIONS WE PROPOSE

PBGC-1 SFA applications whose participant and death counts differ from Form 5500 history (known case: Central States, $127M, 3,479 deceased participants). **First prototype.**

PBGC-2 Payees with no sign of life (with SSA).

EXPOSURE

- $10.6B in outlays and $91B in budgetary resources in FY2026.
- Central States alone received a $35.8B SFA grant; the $127M overpayment was about 0.35% of it. PBGC says it will recover funds tied to deceased participants from other plans.

PUBLIC DATA WE USE

- **PBGC SFA application and approval listings** (plan, amount, date).
- **Form 5500 filings (DOL EFAST):** participant counts, deaths reported, and actuarial data for every plan.
- **PBGC OIG reports** and congressional oversight letters.

HOW WE DETECT IT

1. **SFA census checks:** plans whose participant counts or death rates in the SFA application differ from their own Form 5500 history and actuarial norms.
2. **Benefit payee checks** (with SSA data): payees with no sign of life.

FIRST PROTOTYPE

A plan-level table comparing SFA application data with Form 5500 trends, ranking plans by likely overcounted participants.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 9–11
Jan 11, 2027 to Jan 29, 2027

Workstream
Contained pilots

FY2026 outlays
$10.6B · budget rank 24

Leads go to
PBGC OIG, Multiemployer Program, EBSA

WHY PRIORITY 24

Exposure	●●●○○
Public data	●●○○○
SBA method fit	●●○○○
Actionability	●●●○○

OUR REVIEW, DELIVERED WEEK 11

Plan-level table and memo; the death-data case for SSA and Treasury (shared with SSA below).

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF PBGC

Phase 2 data: Participant data for SFA plans.

What it enables: Participant-level death checks.

Access route: PBGC OIG.

LIMITS

Participant-level data is not public; the screen finds plans to audit, not individual dead payees.

SOURCES

- PlanSponsor: Central States to repay $127M SFA overpayment
- PBGC OIG semiannual report (SR-2026-01)
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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